

Bid / No-Bid Decision Framework for Small Businesses

A disciplined, evaluation-criteria-driven framework for deciding which opportunities to pursue — so you invest your proposal resources where you can win, not just where you want to win.

Decision
Guide:

80–100: BID

60–79:
CONDITIONAL

Below 60: NO
BID

See scoring matrix in Section 3

1

TIMING

Know When to Start — The 30-Day Rule

■ Start your bid/no-bid decision the day the solicitation drops

Waiting costs you preparation time you cannot recover. The moment an RFP is released, begin your assessment — even if a final decision takes 48 hours.

■ If you need more than 30 days to prepare a competitive proposal, assess your capacity honestly

A rushed, thin proposal is worse than no proposal. A no-bid today preserves your reputation and lets you focus resources on a winnable opportunity.

■ Track solicitations before they drop using SAM.gov alerts and Sources Sought responses

The best bid decisions are made before the RFP releases — when you have had months to build relationships, shape requirements, and assess fit.

■ Set a firm internal deadline for the bid/no-bid decision — no later than 48 hours after release

Indecision is a resource drain. A disciplined decision process protects your proposal team's time and your company's bandwidth.

■ *Principle: The best time to decide not to bid is before you have spent three weeks writing. Decide early, decide deliberately, and commit fully once you do.*

2

EVALUATION
CRITERIA**Evaluate the Solicitation's Evaluation Criteria First****■ Locate Section M — Basis of Award — before reading anything else**

Section M tells you exactly how the source selection authority will score your proposal. It is the scorecard. Everything you write must earn points on that scorecard.

■ Map out every evaluation factor and its relative weight or order of importance

Federal solicitations rank factors as: equal, or list them in descending order of importance. A Technical/Price tradeoff solicitation scores very differently than a Lowest Price Technically Acceptable (LPTA) one.

■ Identify the contract type — LPTA vs. Best Value Tradeoff vs. Highest Technically Rated

LPTA: price wins if you clear the technical bar. Best Value: quality can justify a higher price. Know which game you are playing before you decide whether to play.

■ Score yourself honestly against every evaluation factor before bidding

Use a 1–5 scale: 5 = exceptional strength, 3 = meets requirement, 1 = significant gap. If you score below 3 on any factor weighted 'most important,' that is a serious red flag.

■ Ask: Can we earn an Exceptional or Outstanding rating on the highest-weighted factors?

Winning proposals do not just meet requirements — they demonstrate strengths that exceed them. If you cannot articulate a specific strength for the top-weighted factor, reconsider.

■ *Evaluation rule: If you cannot clearly articulate WHY you deserve the highest score on the most important evaluation factor, you are not ready to bid.*

3

DECISION TOOL

Apply the Bid/No-Bid Scoring Matrix

- **Score each factor on a 1–5 scale, then multiply by its weight to get a weighted score**
Add all weighted scores for a total. Use this as your decision anchor — not gut feel.
- **Factor 1 — Technical fit: Does your solution directly address the stated requirement?**
Score 5: You have done this exact work before. Score 3: Similar work, minor gaps. Score 1: Significant stretch — you would need to subcontract core capabilities.
- **Factor 2 — Past performance relevance: Do you have 2–3 directly comparable contracts?**
Score 5: Same scope, same agency type, recent awards. Score 3: Related work, different agency. Score 1: No comparable past performance — high risk of low scores.
- **Factor 3 — Incumbent status and competition intelligence**
Score 5: You are the incumbent or the incumbent is weak. Score 3: Open competition, level field. Score 1: Strong incumbent with high satisfaction ratings — very difficult to displace.
- **Factor 4 — Pricing position: Can you price competitively and still make margin?**
Score 5: Your cost structure gives you a clear price advantage. Score 3: Competitive but tight. Score 1: You cannot price to win without losing money — walk away.
- **Factor 5 — Capacity: Do you have the staff and bandwidth to perform if you win?**
Score 5: Ready to mobilize immediately. Score 3: Some hiring needed, manageable. Score 1: Winning would require doubling your workforce — execution risk is too high.
- **Factor 6 — Relationships: Have you engaged this agency before the RFP dropped?**
Score 5: Known to the program office, attended industry days, submitted RFI response. Score 3: Some agency familiarity. Score 1: Cold — no prior contact, no intelligence.
- **Scoring guide:** Total weighted score 80–100 = Strong Bid. 60–79 = Conditional Bid (address gaps). Below 60 = No Bid unless strategic rationale overrides.

4

READING THE RFP

Understand the Evaluation Factor Weights — Read the Game

■ 'Listed in descending order of importance' means the first factor matters most

If Technical Approach is listed first and Price last, a superior technical solution can justify a higher price. Write your best technical volume — do not cut corners to win on price.

■ 'All factors are equal' means price will likely be the tiebreaker

When everything is weighted equally, the solicitation often becomes de facto LPTA. Know this going in — your differentiation must be exceptional to justify any price premium.

■ LPTA solicitations are not just about being cheapest — you must clear the technical bar

Many small businesses lose LPTA bids by being technically deficient, not overpriced. In LPTA, a single 'Unacceptable' rating on any factor eliminates you regardless of price.

■ Look for 'significant strengths' language in Section M

Some solicitations specify that only proposals with significant strengths can receive Outstanding ratings. Identify what specific, provable strengths you bring before bidding.

■ Small business set-aside status can shift the competitive landscape dramatically

An 8(a) sole-source or set-aside contract removes large business competition entirely. If you hold the right certifications, a set-aside solicitation raises your win probability substantially.

■ *Reading tip: The structure of Section M is the agency's revealed preference. Read it like a contract — every word is deliberate. The factors they list first are the ones that matter most.*

5

STRATEGIC OVERRID
E

Strategic Bid Criteria — When to Bid Even if the Score Says No

■ New agency entry: bidding to build a past performance reference

A lower-margin contract at a new agency can be worth bidding if it opens a door to a larger portfolio. Assign a strategic value score and factor it into your decision.

■ Bridging a capability gap to qualify for a larger follow-on

If winning this contract gives you the past performance to compete for a \$10M follow-on, the strategic value may justify accepting a lower score today.

■ Blocking a competitor from gaining a foothold in your core agency

Sometimes you bid to prevent a competitor from establishing past performance in your territory — not primarily to win, but to make the win costly for them.

■ Small business certification leverage: set-asides and sole-source thresholds

If you hold 8(a), HUBZone, SDVOSB, or WOSB certification, a set-aside solicitation fundamentally changes your probability of win. Strategic bids on set-asides carry far less risk.

■ When a strategic bid is justified, document the rationale explicitly

Do not let strategy become an excuse for wishful thinking. Write down exactly what strategic value justifies the bid, what resources you are committing, and what success looks like beyond the award.

■ *Strategic rule: Every strategic bid must have a clearly defined strategic objective. 'We want the revenue' is not a strategy. 'This contract gives us DoD past performance for OASIS recompute' is.*

6

NO-BID SIGNALS

Hard Stop — Automatic No-Bid Triggers

- **The solicitation was written around a competitor's capabilities**
If the requirements perfectly mirror one vendor's unique solution — proprietary system, specific certifications held by one firm, or unusually narrow specifications — the competition may be wired. Walk away.
- **You cannot meet a mandatory qualification by the proposal due date**
Clearance requirements, certifications, licenses, or bonding that you do not currently hold and cannot obtain in time are automatic disqualifiers. Do not bid hoping for a waiver.
- **The period of performance conflicts with existing contract commitments**
Overcommitting your key personnel is a performance risk and an ethics risk. If you cannot staff this contract without pulling critical resources from existing customers, do not bid.
- **The pricing floor leaves no margin after cost**
If comparable award data shows the incumbent was performing at rates you cannot match while remaining profitable, price-to-win may be impossible. A win at a loss is worse than a loss.
- **You have an unresolved organizational conflict of interest (OCI)**
Bidding with an undisclosed or unmitigated OCI is a legal risk that can result in protest, award rescission, and debarment. When in doubt, consult counsel before submitting.
- **The proposal requires you to misrepresent your capabilities or certifications**
This is non-negotiable. False statements in federal proposals are criminal offenses under 18 U.S.C. § 1001. No contract is worth your registration, your reputation, or your freedom.
- *Hard stop rule: If any automatic no-bid trigger applies, stop. No strategic rationale, no revenue pressure, and no leadership directive overrides these conditions. Walk away.*

7

GOVERNANCE

The Bid Decision Meeting — Who Decides and How

- **Convene a bid/no-bid meeting with leadership, the capture lead, and the proposal manager**
The decision must involve the people who will be accountable for performance, resourcing, and proposal quality — not just the business development team.
- **Present the scoring matrix results, not opinions**
Ground the conversation in data from your assessment. Scores, competitive intelligence, pricing analysis, and capacity review should drive the decision — not enthusiasm or fear.
- **Document the final decision and the rationale in writing**
A written decision record protects you if circumstances change, prevents revisiting settled decisions, and creates institutional memory for future similar opportunities.
- **If the decision is 'Bid,' assign resources immediately — do not wait**
The proposal clock started when the RFP dropped. Every day without assigned writers, a schedule, and a kickoff meeting is a day you cannot recover.
- **If the decision is 'No Bid,' send a professional declination if a relationship exists**
A courteous no-bid communication to the agency or prime contractor preserves the relationship for future opportunities. Silence or a last-minute withdrawal damages your reputation.
- *Governance rule: The bid/no-bid decision is a business decision, not a sales decision. It must be made by the people responsible for delivering — not only the people responsible for winning.*

Quick-Reference Scoring Matrix

Factor	Weight	Your Score (1–5)	Weighted Score
Technical fit to requirement	25%	—	—
Past performance relevance	20%	—	—
Incumbent / competition position	20%	—	—
Pricing competitiveness & margin	15%	—	—
Capacity to perform if awarded	10%	—	—
Agency relationship & intelligence	10%	—	—
TOTAL	100%		—

Score 80–100 = Strong Bid | **Score 60–79** = Conditional Bid — identify and address gaps before committing | **Score <60** = No Bid unless a documented strategic override applies